Sample solution

Hire purchase agreement: computer equipment for home study

Organisation: Coral Stone Computer Centre Ltd, Barbados
Portfolio element: Legal Work: Hire Purchase Agreement using Word Processing Software
Scenario: legal-7

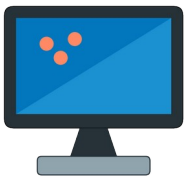
Model answer · Teacher's Version

How this meets the marking criteria

Criterion	Marks	Where it is met in this solution
Appropriate graphic/logo representing the nature of the company (computer retailer) in the letterhead	**1 APP**	Page 1 letterhead: a computer-monitor logo (computer retailer) beside the Coral Stone Computer Centre Ltd name, address and contact line.
Credentials of the Hirer stated (occupation, employer, length of employment, documents supplied), and the Owner's nature of business stated	**1 APP**	Owner described as a retailer of computers, printers and office equipment; the Hirer is a Payroll Clerk with Bayfield Shipping Agencies Ltd for four (4) years and supplied a job letter, three salary slips and her national identification card.
Parties clearly identified; agreement number and date shown; clauses numbered with bold headings in uncomplicated language; amounts in figures and words (mailability d, f)	**1 APP**	Title in bold capitals with Agreement No. HP-2025-0389 centred below; dated 15 September 2025; parties in bold; 10 numbered clauses with bold headings; instalment and late fee in figures and words.
Figures in both tables accurately reproduced and consistent: cash price 3,150.00, deposit 630.00, balance 2,520.00, charge 252.00, instalments 9 × 308.00 = 2,772.00, HP price 3,402.00	**1 IA**	Both tables bordered, bold headings, right-aligned: 2,300.00 + 465.00 + 210.00 + 175.00 = 3,150.00; deposit 20% = 630.00; balance 2,520.00; charge 10% = 252.00; 2,772.00 = 9 × 308.00; HP price 3,402.00 (all checked).
Signature spaces (3) correctly allocated: Owner's representative, Hirer and Witness	**1 KC**	Signature section kept together: Owner's representative (Mr. Trevor Alleyne, Credit Manager), Hirer and Witness, with dotted lines, names and roles.
Total	**5**	**Every criterion is met in full.**

Files in this pack: legal-7 - Sample solution.pdf; computer hire purchase agreement.docx.

Document pages: the 2 printed A4 pages follow this cover. All figures were checked by calculation (items sum to 3,150.00; HP figures consistent).



CORAL STONE COMPUTER CENTRE LTD
Six Roads, St. Philip, Barbados
Telephone: +1 (246) 423 5170
E-mail: credit@coralstonecomputers.bb

HIRE PURCHASE AGREEMENT

Agreement No. HP-2025-0389

THIS AGREEMENT is made on 15 September 2025

BETWEEN **Coral Stone Computer Centre Ltd**, a retailer of computers, printers and office equipment, of Six Roads, St. Philip, Barbados (the Owner),

AND **Ms. Shanice Alicia Greaves** of 14 Palm Grove Terrace, Kendal Hill, Christ Church, Barbados (the Hirer). The Hirer has been employed as a Payroll Clerk by Bayfield Shipping Agencies Ltd for four (4) years. She has supplied a job letter, her three most recent salary slips and her national identification card.

The Owner agrees to let and the Hirer agrees to hire the goods listed below on the following terms:

1. **The goods**:

Item	Serial number	Cash price (BDS$)
Laptop computer, 15.6-inch, 16 GB memory	LT15-40927	2,300.00
All-in-one inkjet printer	PR-77310	465.00
External hard drive, 2 TB	HD2-11853	210.00
Uninterruptible power supply, 650 VA	UP6-20481	175.00
Total cash price		**3,150.00**

2. **Financial terms**:

Details	Amount (BDS$)
Total cash price	3,150.00
Less deposit paid on signing (20%)	630.00
Balance	2,520.00
Add hire purchase charge (10% of balance)	252.00
Balance payable by instalments	2,772.00
Nine (9) monthly instalments of	308.00
Total hire purchase price (deposit + instalments)	**3,402.00**

3. **Instalments**: The first instalment of BDS$308.00 (three hundred and eight Barbados dollars) is due on 15 October 2025. Later instalments are due on the 15th day of each following month. The final instalment is due on 15 June 2026.

4. **Ownership**: The goods remain the property of the Owner until all instalments have been paid. When the final instalment is paid, ownership passes to the Hirer.
5. **Care of the goods**: The Hirer shall keep the goods at the address above in good condition. She shall not sell, lend, pawn or remove them from Barbados without the Owner's written consent.
6. **Insurance**: The Hirer shall insure the goods against fire, theft and accidental damage for their full cash price until the agreement ends.
7. **Late payment**: A late fee of BDS$25.00 (twenty-five Barbados dollars) will be charged for any instalment paid more than seven (7) days after its due date.
8. **Default**: If two (2) instalments in a row remain unpaid, the Owner may, after giving fourteen (14) days' written notice, end this agreement and take back the goods.
9. **Early settlement**: The Hirer may pay the full balance at any time and will receive a rebate of the unearned part of the hire purchase charge.
10. **Warranty and data**: The goods carry the manufacturer's warranty of one (1) year from the date of delivery. The Hirer is responsible for keeping a backup of her own files.

SIGNED on 15 September 2025

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Mr. Trevor Alleyne
Credit Manager, for and on behalf of Coral Stone Computer Centre Ltd (Owner)

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Shanice Alicia Greaves
Hirer

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Witness: Ms. Natasha Holder, Sales Associate